CALDERWICK PUMP SYSTEMS LTD

Internal Audit Report IA-2025-04: Purchase Order Approvals

Report number	IA-2025-04
Scope	Purchase orders approved 1 July to 30 September 2025
Auditor	Fairholm Assurance LLP (engagement lead: Beatrix Lund)
Report date	6 October 2025
Distribution	Audit Committee; Chief Financial Officer; Head of Procurement
Classification	Confidential

1. Background and scope

Fairholm Assurance LLP is the internal auditor of Calderwick Pump Systems Ltd. This audit checked whether purchase orders approved in the second quarter of fiscal year 2026 were approved by the right people. It was the first audit after the amended Purchase Approval Authority Matrix (FIN-AAM-02) took effect on 1 July 2025.

We tested all 20 purchase orders in the Purchase Order Log for July to September 2025 against the matrix version that applied on the date each order was raised, the co-approval rules, the emergency purchase rule and the rule against splitting orders. Acting approvals were checked against the staff directory (HR-DIR-2025-07).

2. Overall conclusion

Approvals were mostly well controlled: 19 of 20 orders were approved correctly. We found one high-rated issue, a split order, and two lower-rated matters.

3. Findings

Table 1 - Findings

No.	Finding	Rating	Management action	Owner (role)	Due
F1	Split order. PO-10236 (USD 118,000) and PO-10237 (USD 74,500) were raised on the same day, 20 August 2025, to the same supplier, Ardent Controls Ltd, for engineering on the same project, PRJ-11. Together they total USD 192,500, which needs the Chief Financial Officer (band C) and the Chief Operating Officer (rule CA-3 for capital projects above USD 100,000). PO-10237 was approved only by the acting Head of Procurement. This breaks the splitting rule in section 6 of FIN-AAM-01, which stays in force under FIN-AAM-02.	High	The Chief Financial Officer ratified PO-10237 on 8 October 2025 and the Chief Operating Officer co-approved it on 9 October 2025. Procurement staff will be retrained on the splitting rule, and the finance system will flag orders to the same supplier and project within 30 days.	Head of Procurement	31 December 2025
F2	Orders just below a threshold. PO-10263 (USD 19,500, OT software) is just below the USD 20,000 threshold of rule CA-1. It covers different items from PO-10207, so it is not a split, but the Head of IT had no view of it.	Medium	The Head of IT will receive a monthly list of all IT and OT purchase orders above USD 10,000.	Head of IT	30 November 2025
F3	Emergency order record. PO-10229 was approved under the emergency rule by the Plant Manager, Ardmoor and ratified by the acting Head of Procurement after three working days, within the five-day limit. The emergency form did not give the incident or fault reference.	Low	Emergency forms will require the incident or fault reference.	Plant Manager, Ardmoor (P2)	31 October 2025

4. Areas found compliant

- All orders raised from 1 July 2025 were approved under FIN-AAM-02, and PO-10189, raised on 27 June 2025, correctly under FIN-AAM-01.
- Orders approved by Marcus Ebner between 7 and 20 August 2025 fall within his acting appointment as Head of Procurement (4 to 22 August 2025).
- Co-approval by the Head of IT was obtained for every IT and OT order above USD 20,000 (PO-10207, PO-10211 and PO-10234).